

A 40-Minute Talk on Economics for Students and Parents

Economics Is Everywhere: Why Understanding It Can Change How You See the World

Good evening everyone,

Thank you so much for being here. It is a real pleasure to speak with students and parents today.

When many people hear the word **economics**, they immediately think of one of three things: money, graphs, or boredom.

And to be fair, economics has done a very good job over the years of making itself sound more complicated than it really is.

Some people think economics is only about the stock market. Some think it is only about inflation and interest rates. Some think it is for bankers, politicians, or people who enjoy drawing curves that cross each other for mysterious reasons.

But economics is actually much more interesting than that.

Economics is about **how people make choices** when they cannot have everything they want.

That means economics is not just about money. It is about **decision-making, trade-offs, incentives, human behaviour, resources, and how society works**.

In other words, economics is about life.

Tonight, I want to do four things:

First, I want to explain what economics really is in plain language. Second, I want to show you how economics appears in everyday life. Third, I want to introduce some fascinating fields within economics, including behavioural economics and neuroeconomics. And finally,

I want to explain why studying economics is valuable for students, for careers, and for understanding the modern world.

Along the way, I will use real-life examples, talk about challenges, and add a few jokes so that this does not feel like punishment.

1. So, what is economics?

Let us begin with the most basic question:

What is economics?

A simple definition is this:

Economics is the study of choices under scarcity.

Now that sounds academic, so let me translate it into normal language.

Scarcity means that resources are limited. Time is limited. Money is limited. Energy is limited. Land is limited. Workers are limited. Even attention is limited.

And because resources are limited, we must make choices.

A student may want:

- more sleep,
- better grades,
- a part-time job,
- time with friends,
- time on social media,
- and time at the gym.

But there are only 24 hours in a day.

That is economics.

A parent may want:

- a larger house,
- lower grocery bills,
- family vacations,
- a reliable car,

- and savings for children's education.

But income is limited.

That is economics too.

A government may want:

- better hospitals,
- more schools,
- safer roads,
- lower taxes,
- better public transportation,
- and stronger environmental protection.

But budgets are limited.

Again, that is economics.

So economics begins with a very realistic idea: **we live in a world of limits, and we must choose.**

2. Economics is not just about money

One of the biggest misunderstandings is that economics is only about money.

Money matters, of course. But economics goes much deeper.

Economics asks questions like:

Why do people respond to incentives? Why do prices rise? Why do some countries become rich and others remain poor? Why do some people save and others spend? Why do housing markets become expensive? Why do traffic jams happen? Why do students procrastinate? Why do people make irrational decisions? Why do businesses advertise so much? Why do wages differ across occupations? Why do governments intervene in markets? Why does a cup of coffee cost more in one city than another?

Economics helps answer all of these questions.

So economics is really a way of thinking.

It trains you to ask:

- What are the incentives?

- What are the costs and benefits?
- Who gains?
- Who loses?
- What are the unintended consequences?
- What happens next?

That last question is especially important.

Because one of the most useful things economics teaches is that policies and decisions often have **hidden effects**.

For example, suppose a city says, “Housing is expensive, so let us simply ban rent increases.”

That may sound like an easy solution. And in the short run, it may help some renters.

But economists will ask: What happens to maintenance? What happens to new housing construction? Will fewer landlords rent out units? Will shortages grow?

Economics teaches us not to stop at the first effect. It teaches us to look at the second and third effects too.

That is a very powerful way of thinking.

3. Real-life economics: examples everyone understands

Let me make this very concrete.

Example 1: The coffee shop line

Imagine a coffee shop on campus. Every morning, there is a long line.

Why?

Because at the price being charged, many students want coffee at exactly the same time.

That sounds simple, but it reveals an economic truth: when demand is high and supply is limited, scarcity shows up.

Sometimes scarcity shows up as a higher price. Sometimes it shows up as a long line. Sometimes it shows up as “Sorry, sold out.”

So when students complain about the line, that is not just frustration. That is field research.

Example 2: Concert tickets

Why do tickets for a major concert sell out in minutes?

Because lots of people want them, but there are only so many seats.

Then what happens? Resale markets appear.

Suddenly a \$100 ticket becomes \$400.

Now we are talking about supply, demand, scarcity, willingness to pay, and market design.

Also, disappointment. Economics includes disappointment.

Example 3: Choosing a university program

Students often ask, “What should I study?”

That is an economic decision too.

Every choice has an **opportunity cost**.

Opportunity cost means the value of the next best alternative you give up.

If you spend three hours watching videos instead of studying, the cost is not just three hours. It is what those three hours could have produced: better understanding, a better grade, less stress later.

If you choose one degree instead of another, the question is not just “What do I like?” but also “What opportunities does it open?”

Economics does not tell you what to value. But it helps you think clearly about your trade-offs.

Example 4: Family grocery shopping

Parents do economics every week.

You go to the grocery store and suddenly discover that your budget has entered a period of emotional instability.

You compare brands. You look for sales. You substitute chicken for beef. You delay buying something. You decide what is necessary and what is not.

That is consumer choice.

Inflation becomes very real in the grocery store. It is one thing to hear “inflation is 3%.” It is another thing to say, “Why does this bag of grapes require a payment plan?”

That is applied economics.

4. The big economic issues we hear about

Now let us move from daily life to larger issues that affect all of us.

Inflation

Inflation means the general rise in prices over time.

Students feel it in food, rent, and transportation. Parents feel it in groceries, utilities, and mortgage payments.

When inflation rises too much, purchasing power falls. That means your money buys less than before.

A joke economists like is: “Inflation is when you need more money to buy the same sadness.”

But inflation is serious because it affects family budgets, business planning, savings, and economic stability.

Unemployment

Unemployment is about people who want work but cannot find it.

This matters because work is not just about income. It is also about dignity, identity, stability, and opportunity.

When unemployment is high, families struggle, communities weaken, and young people may delay major life decisions.

Housing affordability

This is one of the biggest issues today.

Why is housing so expensive in many places?

Possible reasons include:

- strong population growth,
- limited housing supply,
- zoning restrictions,
- high construction costs,

- interest rate changes,
- speculation,
- and regional demand pressures.

Economics helps us understand that there is rarely one single cause.

Inequality

Why do some people earn so much more than others?

What causes wage differences? Education? Skills? Experience? Technology? Discrimination? Market power? Geography?

Economics studies all of that.

Climate change and sustainability

Economics is also deeply involved in environmental issues.

How do we reduce pollution? Should carbon be taxed? How do we balance growth with sustainability? How do we value future generations?

These are economic questions as much as environmental ones.

5. Economics is about people, not just numbers

Now here is something I really want to emphasize:

Economics uses data, models, and statistics. But economics is ultimately about people.

It is about:

- families deciding how to spend,
- workers trying to find jobs,
- students choosing a future,
- governments designing policy,
- firms making investments,
- and communities trying to build a better life.

The numbers matter because people matter.

This is important because some people think economics is cold or mechanical.

But good economics is deeply human. It asks how choices affect well-being, fairness, opportunity, and quality of life.

6. Some fascinating fields in economics

Now let us get to the fun part: the many different areas of economics.

A lot of people think economics is just one thing. It is not.

Economics is a very broad field with many exciting branches.

Let me introduce some of the most interesting ones.

A. Behavioural economics

This is one of the most popular and fascinating fields.

Traditional economics often assumes people are rational and make carefully calculated decisions.

Behavioural economics says: “That is a nice theory. Have you met humans?”

Behavioural economics studies how people actually behave, including all the strange, emotional, inconsistent, and predictable ways we make decisions.

For example:

- Why do people procrastinate?
- Why do we buy things we do not need?
- Why do we keep subscriptions we forgot about?
- Why do we fear losses more than we value gains?
- Why do we choose immediate pleasure over long-term benefit?

A classic example: Many people know they should save more, exercise more, and spend less.

And yet, somehow, a person can say: “Starting tomorrow, I will become financially disciplined, physically fit, and emotionally organized.”

Then tomorrow comes, and they order takeout and buy something online at 11:43 p.m.

Behavioural economics studies that gap between intention and action.

It examines ideas such as:

- procrastination,

- self-control problems,
- framing effects,
- mental accounting,
- herd behaviour,
- overconfidence,
- and default choices.

Real-world uses include:

- improving retirement savings,
- designing better health policies,
- encouraging energy conservation,
- and making public programs easier to use.

B. Neuroeconomics

This is where economics meets neuroscience and psychology.

Neuroeconomics studies what happens in the brain when people make decisions.

For example:

- What happens in the brain when we take risks?
- Why do rewards feel rewarding?
- Why do we sometimes make impulsive decisions?
- How do emotions affect economic choices?

Researchers may use brain imaging and experiments to study decision-making.

Now, when people hear this, they sometimes say, “So economics can read minds?”

Not quite.

Economics can barely predict what someone wants for dinner after they say, “I am fine with anything.”

But neuroeconomics helps us understand the biological and cognitive foundations of choice.

It is especially useful for studying:

- risk-taking,

- addiction,
- trust,
- reward processing,
- and emotional decision-making.

C. Labour economics

Labour economics studies jobs, wages, unemployment, education, skills, and the workforce.

Questions include:

- Why do some occupations pay more than others?
- Why do wages differ between industries?
- What causes unemployment?
- How do education and training affect earnings?
- What explains gender wage gaps?
- What happens when technology changes the nature of work?

This field is incredibly important because almost everyone cares about jobs.

Students care about careers. Parents care about stable employment. Governments care about labour shortages and productivity.

Labour economics helps us understand what drives employment opportunities and earnings over time.

D. Environmental economics

This field studies pollution, climate change, natural resources, conservation, and sustainable development.

It asks:

- How should society deal with pollution?
- What is the cost of climate change?
- How should natural resources be managed?
- How can policy encourage greener behaviour?

This field is especially important today because environmental decisions are also economic decisions.

E. Health economics

Why are healthcare costs so high? How should healthcare be funded? What affects access to care? What makes public health policies effective?

Health economics helps policymakers decide how to use limited healthcare resources wisely.

F. Development economics

This field studies poverty, inequality, education, health, growth, and living standards in lower-income regions and countries.

It asks:

- Why do some communities struggle to grow?
- What policies reduce poverty?
- How do education, institutions, and infrastructure matter?

This field combines economics with real human development challenges.

G. Financial economics

This field studies banking, investing, financial markets, interest rates, risk, and asset prices.

If you have ever heard about:

- stock markets,
- mortgage rates,
- financial crises,
- cryptocurrency,
- pensions,
- or investing,

then you have touched financial economics.

H. Industrial organization

This field has a long name, but a simple idea.

It studies how firms compete.

For example:

- Why do some industries have only a few large firms?
- Why do companies advertise so much?
- Why do prices differ across stores?
- Why do tech platforms become so dominant?

This field helps us understand competition, monopoly power, and consumer choice.

I. Public economics

This field looks at taxes, government spending, social programs, public goods, and policy design.

Questions include:

- Who should pay taxes?
- How should governments spend money?
- What should be public and what should be private?
- How do policies affect incentives?

This field is central to debates about fairness and efficiency.

7. Why economics is more relevant now than ever

We live in a time of major economic change.

Students today are growing up in a world shaped by:

- inflation,
- housing challenges,
- rapid technological change,
- artificial intelligence,
- rising education costs,
- climate concerns,
- global trade shifts,

- and changing labour markets.

Economics helps make sense of all of that.

Without economics, news headlines can feel confusing.

With economics, you start to see patterns.

You begin to understand:

- why central banks raise interest rates,
- why supply chain disruptions affect prices,
- why governments run deficits,
- why some jobs disappear and others grow,
- why global events affect local communities.

Economics gives you a framework for understanding the world.

And once you understand the world better, you make better decisions in it.

8. The challenges in economics

Now let me be honest.

Economics is important, but it is not easy.

There are several challenges.

First, people are complicated

Humans do not always behave rationally.

We are emotional. We are social. We are influenced by habits, fear, hope, identity, and other people.

That makes economic behaviour hard to predict.

Second, the world changes

Technology changes. Policies change. Demographics change. Shocks happen.

A model that worked in one period may work less well in another.

Third, there are trade-offs

In economics, many good goals conflict.

You may want:

- low inflation,
- low unemployment,
- affordable housing,
- lower taxes,
- more services,
- faster growth,
- and less pollution.

These are all worthy goals. But achieving all of them at once is difficult.

Economics teaches us that policy often involves trade-offs, not magic.

That is one reason economists sometimes disagree.

And that is okay.

Disagreement in economics does not mean the field is useless. It means the questions are important and the world is complex.

9. Why students should consider studying economics

Now let us come to a practical question:

Why should a student study economics?

Here are a few strong reasons.

Reason 1: Economics builds thinking skills

Economics teaches students how to think logically, critically, and clearly.

Students learn how to:

- analyze problems,
- interpret evidence,
- understand incentives,

- evaluate arguments,
- and communicate reasoning.

These skills are useful in almost every profession.

Reason 2: Economics is practical

Economics is not just theoretical.

It helps with real-life decisions about:

- spending,
- borrowing,
- saving,
- careers,
- policy,
- business strategy,
- and public issues.

Reason 3: Economics is flexible

An economics degree opens many doors.

Students with economics training work in:

- government,
- banking,
- finance,
- consulting,
- policy analysis,
- business,
- research,
- education,
- international organizations,
- law,

- journalism,
- data analysis,
- and many other fields.

Reason 4: Economics combines numbers and ideas

Some students like data and statistics. Some like big social questions.

Economics gives you both.

You can study graphs and models, but also inequality, poverty, environment, trade, and human behaviour.

Reason 5: Economics helps you stand out

Employers value people who can analyze information, solve problems, and make evidence-based decisions.

Economics trains exactly those abilities.

10. Job prospects: the question parents always ask

Now let us address the question that is often quietly sitting in the room:

“This sounds interesting, but what kind of job does it lead to?”

A very fair question.

Economics has strong job prospects because it teaches skills that are widely transferable.

Graduates in economics can work in areas such as:

- public service,
- economic development,
- financial analysis,
- market research,
- banking,
- policy advising,
- business analytics,
- labour market analysis,

- education,
- data and forecasting,
- insurance,
- public administration,
- consulting,
- and graduate or professional studies.

An economics background can also be a strong foundation for:

- law school,
- business school,
- public policy programs,
- graduate studies in economics,
- and careers in research.

Many employers may not be hiring for the title “economist” specifically. But they are very much hiring for the skills economists have.

Those skills include:

- quantitative reasoning,
- data interpretation,
- structured thinking,
- writing clearly,
- understanding incentives,
- and seeing the bigger picture.

That matters a lot.

Because in today’s economy, the ability to think clearly is a career advantage.

11. Economics and everyday wisdom

Even if a student never becomes a professional economist, economics is still worth studying.

Why?

Because it helps you avoid bad decisions.

It helps you ask:

- Is this really worth the cost?
- What am I giving up?
- What incentives are shaping this situation?
- Is this a short-term gain with a long-term cost?
- What are the unintended consequences?

Economics does not make people perfect decision-makers.

If it did, economists would all have perfect budgets, perfect investments, and perfect eating habits.

We do not.

Economics gives you tools. You still have to use them.

A nutritionist can still eat chips. A dentist can still avoid flossing. And an economist can still buy something unnecessary because it was “on sale.”

That is not a failure of economics. That is a reminder that humans are humans.

12. A few light jokes to keep us awake

Since we are talking about economics, let me offer a few gentle jokes.

Why did the economist bring a pencil to dinner? Because they wanted to draw some conclusions.

Why do economists love graphs? Because even when life goes down, they call it a trend.

An economist is someone who sees something working in practice and asks, “But will it work in theory?”

And my favorite: Economics is the only field where two people can win a Nobel Prize for saying opposite things.

That may not be entirely fair, but it does remind us that economics is a living field with debate, evidence, and evolving ideas.

13. A message to students

Let me speak directly to the students for a moment.

You do not need to know everything now.

You do not need to have your entire life planned.

You do not need to already be a “numbers person” or a “business person” or a “policy person.”

What matters is curiosity.

If you like asking questions such as:

- Why is life getting more expensive?
- Why do people behave the way they do?
- Why do some policies succeed and others fail?
- Why are some jobs growing while others disappear?
- Why do markets sometimes work well and sometimes not?

then economics may be for you.

Economics is not just about becoming one type of professional. It is about becoming someone who understands how the world works.

That is valuable no matter what career you choose.

14. A message to parents

And to the parents:

Economics is one of those fields that develops both intellectual depth and practical ability.

It helps students become thoughtful, analytical, adaptable, and informed.

It builds strong foundations for employment, but also for citizenship.

Because understanding economics helps people make sense of public debates, household decisions, and career choices.

When your children understand economics, they are better equipped not only for jobs, but for life.

Also, they may finally understand why you keep saying: “We cannot buy everything.”

That may be the most successful learning outcome of all.

15. Final conclusion

Let me close with this.

Economics is not just a subject in a classroom. It is a way of understanding the world.

It helps explain:

- the choices we make,
- the challenges we face,
- the policies we debate,
- and the opportunities we pursue.

It is about scarcity, yes. But it is also about creativity. It is about solving problems. It is about improving lives. It is about understanding people, markets, institutions, and society.

It includes traditional areas like macroeconomics and finance, but also exciting modern fields like behavioural economics, neuroeconomics, environmental economics, and health economics.

It is relevant to everyday life. It is relevant to careers. And it is relevant to the future.

So whether you are a student wondering what to study, or a parent wondering what is useful in today's world, economics is worth serious consideration.

Because once you begin to understand economics, you start to see it everywhere.

In prices. In jobs. In public policy. In business. In education. In family decisions. In human behaviour.

And perhaps most importantly, economics helps us ask better questions.

And better questions often lead to better choices.

Thank you very much.